

**Before the
Federal Maritime Commission**

Docket No. 24-17

Samsung Electronics America, Inc.
v.
**Orient Overseas Container Line, Limited,
and OOCL (Europe) Ltd.**
v.
Samsung Electronics Company, Ltd.

**SUPPLEMENTAL BRIEF OF OOCL REGARDING NON-DISMISSAL OF THIRD-
PARTY COMPLAINT**

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June 26, 2025

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I. INTRODUCTION

Respondents and Third-Party Complainants Orient Overseas Container Line, Limited and OOCL (Europe) Ltd. (together “OOCL”), pursuant to the Presiding Officer’s June 11, 2025 Order (“Order”), hereby submit their supplemental brief “...explaining why its Third-Party Complaint should not be dismissed for failure to state a claim upon which relief may be granted. OOCL is directed to address, among other things, Judge Chintella’s rationale for dismissing OOCL’s Counterclaim against SEA.” Order at 4.

Before turning to the substance of the matter, OOCL, in order to preserve its arguments for the Commission and the court, reiterates its objections to the Presiding Officer’s Order on the grounds set forth in OOCL’s Motion for Reconsideration, especially its arguments that: (i) the Presiding Officer lacks authority to order supplemental briefing regarding a non-party, and (ii) any response by SEC to this Supplemental Brief will, as a matter of law, waive any SEC claims that the Third-Party Complaint was not properly served on SEC.

II. PROCEDURAL HISTORY

On March 24, 2024, Samsung Electronics America, Inc. (“SEA”) filed a Complaint (“Complaint”) against OOCL, alleging, *inter alia*, that OOCL had improperly charged SEA a purportedly substantial amount of \$12.5 million in detention, demurrage “and associated charges,” based on the theory that the mere notation of store door delivery on a bill of lading means that the ocean carrier is responsible for charges resulting from SEA delays in picking up cargo or returning equipment, no matter what the service contract and incorporated tariff may say to the contrary.

Following motion practice that resulted in the dismissal of two counts of the Complaint and an order directing SEA to file an amended complaint quantifying the damages it sought, SEA filed an Amended Complaint (“AmComplaint”) on December 2, 2024. OOCL submitted its Answer,

including a Counterclaim against SEA, on December 12, 2024. On December 12, 2024, OOCL also filed a Third-Party Complaint against Samsung Electronics Co., Ltd. (“SEC”), SEA’s parent and the entity that solicited, negotiated, and signed the relevant service contracts with OOCL (to which it bound SEA as an affiliate). SEC filed a motion to dismiss the Third-Party Complaint based on insufficient service of process on January 29, 2025, to which OOCL responded, and SEC replied. That motion remains pending before the Presiding Officer.

On January 6, 2025, SEA filed a motion to dismiss the Counterclaim. On March 31, 2025, after a response by OOCL (January 21, 2025) and a reply by SEA (January 28, 2025), the Presiding Officer dismissed the Counterclaim (“Dismissal Order”). OOCL appealed that dismissal on April 16, 2025, and so the Dismissal Order is currently inoperative.¹ The proceeding was reassigned on June 6, 2025, and, on June 11, 2025, the Presiding Officer, acting *sua sponte* without any motion for relief on the merits, ordered OOCL to file this supplemental brief, “explaining why its Third- Party Complaint should not be dismissed for failure to state a claim upon which relief may be granted. OOCL is directed to address, among other things, Judge Chintella’s rationale for dismissing OOCL’s Counterclaim against SEA.” Order at 4.

¹ SEA has argued from both sides of its mouth regarding the effect of OOCL’s appeal. Just under a month ago, SEA explicitly told the then-Presiding Officer that “SEA acknowledges that the filing of OOCL’s Exception renders the March 31, 2025 Order Dismissing OOCL’s Counterclaim **‘inoperative’** under 46 C.F.R. § 502.277(a)(5).” 2025 WL 1255550, at *4 (Complainant’s Response to Respondents’ Motion to Stay Proceedings, April 23, 2025). Now, in Point IV of its Opposition to Respondents’ Motion for Reconsideration, SEA argues directly to the contrary, without even addressing its prior statement or informing the Presiding Officer that it made such statement.

On June 18, 2025, OOCL filed a Motion for Reconsideration of the June 11 Order and a motion to stay the ordered supplemental briefing pending a determination on jurisdiction. On June 23, 2025, SEA filed responses to OOCL's Motions.²

On June 24, 2025, SEC filed a Motion to Preserve Defenses, to which OOCL's response is due on July 1, 2025.

Also on June 24, 2025, OOCL filed a Motion for Alternative Service. SEC submitted an "Initial" Response to the Motion for Alternative Service. Despite SEC's use of the word "Initial" in the caption, the FMC's Rules do not permit the filing of multiple responses to a motion, and so that motion is fully briefed.

On June 25, 2025, the Presiding Officer held a conference with counsel for OOCL, SEC, and SEA and immediately thereafter issued an order directing OOCL to file the instant Supplemental Brief addressing the merits of the Third-Party Complaint on June 26, 2025. Order Following Status Conference (June 25, 2025). SEC was instructed to file its responsive Supplemental Brief no later than July 14, 2025, to which OOCL must reply no later than July 21, 2025. Order Following Status Conference at 2.

III. FACTUAL BACKGROUND

The facts recited below are from the Third-Party Complaint ("TPC"), the allegations of which, as detailed further below, must be accepted as true by the Presiding Officer and construed in the light most favorable to OOCL in assessing dismissal on the merits.

As an initial matter, we note that the activities covered by both the Third-Party Complaint against SEC and the Counterclaim against SEA were committed collectively by SEC and SEA,

² The response by SEA was improper and should be disregarded as SEA is not a party to the Third-Party Complaint. SEC has not yet filed a written response to OOCL's Motion for Reconsideration; its position was articulated during the June 25, 2025, conference.

together. Although exactly what steps each of SEC and SEA took as part of their joint activity is not yet determined and will be clarified through discovery, it is clear that they carried out their scheme in tandem. The only reason that they are not joined in a single complaint is that SEA filed a complaint, forcing OOCL to file a mandatory counterclaim against SEA and a third-party complaint against SEC.

We also note that the Third-Party Complaint, like the Counterclaim, alleges two separate unfair or unjust means by which SEC and SEA obtained or sought to obtain rates and charges lower than those otherwise applicable. Although each of SEC and SEA played a role in both schemes, each appears to have been more specifically prominent in one of the two schemes.

First, as elaborated below, SEC and SEA attempted to and did obtain lower *ocean freight rates* than OOCL would otherwise have offered, by the unjust means of concealing certain facts about their obligation under the Service Contracts, tariff, and bills of lading to take responsibility for detention and demurrage charges. Respondent in this Third-Party Complaint – SEC – took the lead in carrying out this scheme although SEA also participated.

Second, as also elaborated below, SEC and SEA conspired to obtain or attempt to obtain ocean transportation at less than the applicable *charges* – in this case mainly detention and demurrage charges – by falsely representing themselves as willing to take responsibility for such charges then, after OOCL had provided the transportation services, demanding refunds that SEC and SEA knew were contrary to the terms of the Service Contracts, published tariff, and bills of lading.

The claims made by SEA in its Complaint arise from services provided by OOCL during the 2021-2022 time period, pursuant to Service Contracts between OOCL and SEC. At the time it negotiated these Service Contracts with OOCL, SEC required that the trucking of its cargo in the

United States be done by motor carriers chosen by SEC or its consignee SEA (“customer-nominated trucker” or “CNT”). (TPC, ¶16).³ SEA was one of SEC’s consignees and was designated as an Affiliate of SEC in Appendices to the Service Contracts. (TPC, ¶¶19-20). Pursuant to the terms of the Service Contracts and the tariff incorporated therein by reference, the CNTs selected by SEC/SEA were in contractual privity with SEC and SEA, not with OOCL, and SEC and SEA were responsible for the activities of the CNTs. (TPC, ¶¶26, 52). OOCL paid these motor carriers the basic rate for the trucking of SEC’s shipments moving under “store door” terms but made these payments solely as an agent for SEC. (TPC, ¶¶16; 53). OOCL’s role was limited with respect to the CNTs, and any activities OOCL undertook were done solely as an agent for the principal, SEC. (TPC, ¶¶26; 54).

One of OOCL’s conditions for agreeing to the Service Contracts and providing SEC with the lower rates offered thereby (compared to tariff rates or other service contracts offered by OOCL) was that OOCL would not be responsible for any costs associated with a CNT’s trucking delays. Apart from paying the truckers the basic drayage rate as agent for SEC, OOCL was not responsible for any charges incurred by SEC, SEA, or their CNTs, specifically including, as relevant here, charges such as detention, demurrage, and storage at ocean terminals, rail terminals, or other facilities. (TPC ¶52). SEC agreed to this condition by signing the Service Contracts when it knew or should have known that, as quoted immediately below, it was agreeing to bear the responsibility for any delay costs not caused by OOCL.

³ In this respect, each of the SEC RFQs provided under paragraph 6, captioned “Customer Service”, as follows:

“Preferred Trucker & Delivery - Carriers are required to provide local delivery service with consignee’s preferred trucker if any. (CNT = Customer Nominated Trucker).” *Id.*

In this respect, the Service Contracts to which SEC agreed incorporated the following provision of published Tariff Rule OOCL-100 Rule Number: T-26, which stated:

“[W]hen a customer nominated trucker (CNT) is used for store door delivery for inbound shipment . . . at the request of Shipper (or any other entity with an interest in the cargo), it is hereby agreed that the following terms and conditions shall apply: • Carrier will act ***as agent of Shipper*** for purposes of arranging the trucking, ***and the contract of carriage for inland door delivery transportation shall be deemed to be between the trucker and Shipper*** or the owner of the cargo. The ***CNT will be employed by the Shipper*** or the owner of the cargo, ***not Carrier***, even though Carrier's rates are inclusive of door delivery. Carrier shall pay the CNT only as agent for Shipper.” (TPC, ¶26) (emphasis added).

The CNTs hired by SEC/SEA ran up significant detention and demurrage charges without any fault by OOCL. (TPC, ¶32). These costs were fully attributable to SEC/SEA's mismanagement of its CNTs, and SEC/SEA's own decisions to use terminals and OOCL containers for storage, as an alternative to obtaining additional warehouse space. (TPC, ¶¶55-58). Moreover, SEC/SEA and their CNTs repeatedly failed to return OOCL's empty containers prior to the expiration of free time, without fault on the part of OOCL (TPC, ¶58), thereby accruing detention. Given that neither SEC nor SEA has identified the specific shipments that they claim could not be timely picked up or returned by SEC/SEA or their CNTs, it is not possible to say whether the fault in any particular instance was attributable to SEC/SEA or to their CNT. But it does not matter because, under the foregoing provision, SEC directly or indirectly selected and controlled the CNT, and SEC was thus responsible for both its own (or SEA's) defaults and those of their CNTs.

As the evidence after discovery will show, and as OOCL has alleged (which must be taken as true), there was plenty of blame attributable to SEC/SEA and their CNTs. Among other things, SEC, directly or through its agent SEA, repeatedly accrued demurrage by allowing shipments to linger at marine terminals for periods long past the expiration of free time, rather than directing its CNT to perform timely pickup. In so doing, SEA ignored multiple and timely communications from OOCL notifying it of each shipment's last free day and accrued demurrage. (TPC, ¶56).

Further, SEC and SEA did not timely respond to “long-dwelling letters” sent by OOCL, seeking instructions with respect to shipments in demurrage which continued to remain at the terminals. (TPC, ¶57).⁴

Despite agreeing to be responsible for delays associated with their CNTs and their apparent acceptance of the resulting charges by paying them without formal demur using OOCL’s published procedure for disputing detention and demurrage invoices,⁵ SEC and SEA apparently decided to improve their bottom lines by demanding repayment from OOCL (and a host (5 at last count) of other ocean common carriers) of charges that were properly assessed to them.⁶

SEA sent a demand letter (“Demand Letter”) to OOCL, dated October 7, 2022, and captioned “NOTICE OF DEMAND FOR ACTION.” In the Demand Letter, SEC/SEA baldly asserted that OOCL was required to refund SEA \$11 million, representing the amounts SEA purportedly paid on SEC’s behalf (not only to OOCL but also to other service providers) simply because the underlying shipments moved under store door terms. (TPC, ¶28). Inexplicably, the demand did not identify the relevant shipments by bill of lading, container or booking numbers; it did not correlate charges to specific shipments; and, most significantly, it did not explain why specific charges for these unidentified shipments should be mitigated or refunded. (TPC, ¶29).

⁴ OOCL’s allegations are particularly credible in light of findings that SEA was responsible for charges incurred on shipments handled by other carriers. *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services, Ltd.*, FMC Docket No. 22-30, Initial Decision, p. 45, Finding of Fact #134 (ALJ Apr. 22, 2025).

⁵ OOCL maintains a robust and readily available system for cargo owners to contest detention and demurrage charges, which was characterized during a VOCC Audit Program as meeting the FMC’s “best practices” for dispute resolution processes. (TPC, ¶30). SEA, however, did not utilize this program to challenge or even mitigate the detention and demurrage charges that it incurred. (CC, ¶21).

⁶ See FMC Docket Nos, 22-30 (Zim), 23-01 (SM Line), 24-16 (COSCO), and 24-23 (HMM).

Equally inexplicably, SEA did not in its Demand Letter or additional correspondence/discussions, explain why it failed to request additional free time when containers were sitting at the terminal or SEA facilities or justify why it failed to timely challenge detention or other charges at the time they were incurred or invoiced to SEC/SEA. This abnormal tactic of failing to use a readily available process to seek redress and then presenting an amorphous, unsupported bill for \$11 million more than two years later is sufficiently suspect to cast doubts on SEC's and SEA's purported good faith.

OOCL responded to SEA's Demand Letter, noting that OOCL had not received any notices, documents or other information from SEA or SEC documenting extenuating circumstances that impacted SEA's ability to timely pick up or return OOCL's containers with respect to specific shipments, such as unavailability of appointments, return facility closures or other matters outside the control of SEA or its CNT agents that would warrant mitigation of the detention charges that were rightfully assessed. OOCL advised SEA that OOCL would nevertheless review any documentation or information SEA or SEC provided that would "cast light on any conditions that prevailed at the time these charges were incurred...and reach a mutually satisfactory conclusion."

IV. ARGUMENT

A. THE DISMISSAL ORDER HAS NO PRECEDENTIAL VALUE FOR THE REASONS SET FORTH IN OOCL'S MOTION FOR RECONSIDERATION

For the reasons set forth in OOCL's June 18, 2025 Motion for Reconsideration and discussed above (*see*, Point III.A), the Dismissal Order issued on March 31, 2025, is not a "decision of the Commission" and, pursuant to the FMC Rules, is not operative. For the sake of brevity, that argument will not be reiterated here. Nevertheless, OOCL wishes to emphasize that, for the reasons stated therein, the Presiding Officer should give no weight to the Dismissal when evaluating whether the Third-Party Complaint is subject to dismissal for failure to state a cause of action. We also incorporate by reference OOCL's exceptions to the Dismissal, particularly noting the errors by

Judge Chintella documented therein, particularly his misunderstanding that the allegations of the Counterclaim relied entirely on SEA filing an FMC complaint, when in fact the Counterclaim asserted violations that were committed well before SEA filed its complaint and that would stand as stated even if SEA had never filed a Complaint.

We further note that the Counterclaim and the Third-Party Complaint here are far from identical, so the allegations in the Third-Party Complaint must be evaluated independently of the Counterclaim and on its own merits. Although both the Counterclaim and the Third-Party Complaint allege that SEA and SEC acted in concert, there are important distinctions. There are at least two separate claims of an unfair device or means in the Counterclaim. First, as Judge Chintella failed to recognize, OOCL asserts SEC unlawfully concealed its opposition to the provision of the service contracts it signed, and that such concealment or deception allowed SEC to obtain ***ocean freight rates*** lower than it could have obtained without the deception. Thus, under OOCL's allegations, SEC violated the Shipping Act the very first time it used the ill-gotten rates and every time it used them thereafter. This claim is entirely independent of the SEA Complaint. Further, even though SEA was involved with SEC in this concealment, SEC, not SEA, played the main role in the deception, as it was SEC that required the use of CNTs, SEC that directly negotiated the service contracts, SEC that signed the service contracts, and SEC that paid (hence underpaid) the ill-gotten ocean freight rates.

The second claim, which Judge Chintella also misunderstood, asserts that SEC and SEA used an unjust device to attempt obtaining ocean transportation service at less than the ***ancillary charges*** (which are different from ocean freight)⁷ – in particular detention and demurrage -- by deceiving OOCL regarding SEC/SEA's disagreement with the agreed contract provisions for

⁷ This is precisely why 46 U.S.C. 41102(a) refers to both "rates" and "charges."

assessing such charges then demanding a refund. This claim again does not require or rest upon SEA's filing of a Complaint, but rather, as discussed further below, upon SEA's prior transmittal of a demand letter demanding a refund of charges properly assessed by OOCL and paid only in part by SEA.

B. THE THIRD-PARTY COMPLAINT SUFFICIENTLY ALLEGES A SHIPPING ACT VIOLATION

i. The Applicable Standard on Motions to Dismiss

Claims under 46 U.S.C. 41102(a), whether by original complaint, counterclaim, or third-party complaint, are subject to the same standard applicable to all other complaints alleging a violation of the Shipping Act. And as the Commission has repeatedly stated, it is a fundamental principle of the Shipping Act that the Commission is statutorily obligated to hear any complaint alleging a Shipping Act violation, unless the complaint is so deficient as to require dismissal for failure to state a claim.⁸

The standard consistently used by the Commission in evaluating whether a complaint is so deficient as to mandate dismissal is what is commonly referred to as the *Iqbal/Twombly* plausibility standard, named after two Supreme Court cases establishing standards to be applied under F.R.C.P. Rule 12(b)(6).⁹ Under the *Iqbal/Twombly* standard, a complaint is immune to dismissal as long as it contains sufficient factual allegations, ***which must be accepted as true***, to “state a claim for relief

⁸ See, e.g., *Cargo One, Inc. v. COSCO Container Lines, Co.*, Dkt. No. 99-24, 2000 WL 1648961 (FMC, Oct. 31, 2000); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006); *Waterman S.S. Corp. v. General Foundries Inc.*, Docket No. 93-15. 1993 WL 13975538 at *5 (Initial Decision, December 9, 1993), *partially adopted*, 1994 WL 279898 (FMC 1994) (“Congress has given persons such a right to file their complaints before the Federal Maritime Commission and has, furthermore, required the Commission to investigate any such complaint”).

⁹ *Ashcroft v. Iqbal*, 556 U.S. 662 (2009) (“*Iqbal*”) and *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) (“*Twombly*”).

that is plausible on its face.” *Twombly* at 570. And a claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Iqbal* at 663.

At the motion to dismiss stage, the question before the Commission is not whether the complainant is likely to prevail on its claim but only whether the claim is adequately pled. *Negron v. USAA Casualty Insurance Co.*, 2014 WL 4411676 at *2 (M.D. Tenn 2014). *See, e.g., Twombly*, 550 U.S. at 556; *United States v. Yale New Haven Hospital*, 727 F. Supp. 784, 786 (D. Conn. 1990) (“issue on a motion to dismiss is not whether the plaintiff will prevail, but whether the plaintiff is entitled to offer evidence to support his or her claims”). It is sufficient if the Third-Party Complaint’s factual allegations are enough to “raise a right to relief above the speculative level and . . . nudge across the line from conceivable to plausible.” *Marine Transportation Logistics, Inc. v. CMA CGM*, Docket No. 18-07, 2019 WL 5206007 at *3 (ALJ, Order Denying Motion to Dismiss, October 8, 2019). Furthermore, the “choice between two plausible inferences that may be drawn from factual allegations is not a choice to be made by the court on a Rule 12(b)(6) motion.” *Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 185 (2d Cir. 2012). All a complainant must do is simply present “enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violation. *Twombly*, 550 U.S. at 556.

Moreover, in evaluating a motion to dismiss any complaint, including a Third-Party Complaint, the Commission must not only treat the allegations as true, but it must also “construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint.” *Cornell v. Princess Cruise Lines, Ltd*, 33 S.R.R. 614, 620-621 (FMC 2014) (citations omitted). Accordingly, all well-pleaded factual allegations in the Third-Party Complaint are assumed to be

true and construed in the light most favorable to OOCL, bearing in mind that discovery has not yet occurred, which OOCL expects will provide additional information to flesh out its claims.

ii. The Substantive Standards Under 46 U.S.C. 41102(a)

The Shipping Act provides: “A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, *or any other unjust or unfair device or means*, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. 41102(a) (emphasis added). To make out a violation of 46 U.S.C. 41102(a), a complainant must show that: (a) a person, (b) knowingly and willfully, (c) by an unjust device or means, (d) obtained or attempted to obtain ocean transportation rates for property at less than the rates or charges that would be otherwise applicable. *Rose International, Inc. v. Overseas Moving Network International, Ltd.*, 29 S.R.R. 119, 158 (FMC 2001).

C. THE COUNTERCLAIM ADEQUATELY ALLEGES ALL 46 U.S.C. 41102(a) ELEMENTS

The Third-Party Complaint adequately alleges all of the elements required of a claim under Section 41102(a) against Third-Party Respondent SEC.

i. SEC Is a “Person”

There can be no doubt that SEC is a “person” within the meaning of 46 U.S.C. 41102(a). That term is defined to “include corporations, companies, associations, firms, partnerships, societies, and joint stock companies, as well as individuals.” 1 U.S.C. 1. Or as the Commission has explained, the words “any person,” as used in 46 U.S.C. 41102(a), is fully as broad as the words “shipper, consignor, consignee, forwarder, broker, or other person.” *U.S. Lines and Gondrand Bros*, 7 F.M.C. 464, 471 (FMC 1962); *OC International Freight, Inc.*, Docket No. 12-01, 2014 WL

5316336 (FMC 2014). See *Unpaid Freight Charges*, 26 S.R.R. 737, 739 (FMC 1993). The TPC alleges that SEC is a corporation “organized and existing under the laws of South Korea,” and that SEC was the Shipper Party to the Service Contract, so necessarily a shipper within the meaning of the Shipping Act. TPC, ¶10. Accordingly, OOCL has adequately alleged that SEC is a person.

ii. SEC Acted “Knowingly and Willfully”

A person is deemed to have acted “knowingly and willfully” “if the person had knowledge of the facts of the violation and intentionally violated or acted with reckless disregard, plain indifference, or purposeful, obstinate behavior akin to gross negligence.” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, Docket No. 96-05, 29 S.R.R. 119, 164-165, (FMC June 1, 2001); *OC International Freight, Inc.* Docket No. 12-01, 2014 WL 5316336 at *3 (FMC July 31, 2014). Here, the TPC alleges that SEC, along with its affiliate SEA, “knowingly and willfully” engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply. TPC, ¶¶ 63, 65. Details regarding this allegation may be found in Paragraphs 49-65 of the Third-Party Complaint. And as discussed below, SEC and SEA knew or should have known that they, not OOCL, were responsible for delays involving their preferred trucker, which they both selected and controlled. Certainly, no more than this is required prior to discovery, which we expect will turn up more detailed information about the scheme between SEC and its affiliate SEA.

iii. SEC’s Actions In Concert With SEA Constitute An “Unjust Device or Means”

All that a complainant must plead to make a plausible allegation of an unjust or unfair device or means is “*some element* of falsification, deception, fraud, or concealment.” *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (emphasis added) (quoting from *Pacific Far East*

Lines – Alleged Rebates, 11 F.M.C. 357, 364 (FMC 1968), *aff'd* 410 F.2d 237 (D.C. Cir. 1969). See, e.g., *Rana v. Franklin*, Docket No. 19-03, 2020 WL 2538465 at *23 (Initial Decision, May 12, 2020), affirmed, 2022 WL 1744905 (FMC May 23, 2022); *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 1994 WL 279898 at *7 (FMC 1994).

As a reminder, OOCL in the Third-Party Complaint alleges two separate schemes by SEC/SEA to obtain or attempt to obtain ocean transportation at less than the otherwise rates and charges. First, and dating back to entry into the Service Contracts, SEC induced OOCL to enter into Service Contracts with lower ocean freight rates by misrepresenting its willingness to incur responsibility for delay costs caused by SEC, SEA, or their CNTs. Second, SEC and SEA tried, and continue trying, to strongarm OOCL into refunding charges that were properly assessed by OOCL and that SEC/SEA were legally obligated to pay.

Starting with attempt number two – reduced **charges**, the Commission and courts have held that a party's attempts to pressure another party into granting a refund by means other than a complaint may constitute an unfair device or means within the meaning of 46 U.S.C. 41102(a). In *Hohenberg Brothers Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963), for example, the court, in upholding a cease-and-desist order issued by the Commission, held that an entity violated a predecessor of 46 U.S.C. 41102(a) when it demanded refunds to which it was not entitled. In that case, as here, the shipper paid the charge assessed by the carrier, then demanded a partial refund. In finding an unjust device or means, the court stated:

“In this case, Hohenberg demanded a rebate on the basis of a claim that it knew **or should have known** to be false. Such action is similar in nature to ‘false billing,’ ‘false classification,’ etc., and under well known principles of statutory interpretation may properly be considered to fall within the comprehensive final phrase ‘any other unjust or unfair device or means.’” *Id.* at 385 (emphasis added).

The instant matter is on all fours with *Hohenberg*. Here, OOCL alleges that SEC knew, or certainly should have known, that the service contract it signed and to which it and SEA were

bound provided that SEC, through its affiliate SEA, *not OOCL*, would be responsible for delays involving the preferred trucker chosen and controlled by SEC/SEA. (TPC, ¶¶24-7; 49-54) Despite this knowledge of its own legal responsibility, SEC/SEA paid the legally-mandated charges to OOCL then attempted to get the services at lower than applicable charges by demanding a refund not only of delay charges that were properly assessed against them by OOCL but also delay charges neither assessed by OOCL nor paid by SEC/SEA to OOCL. (TPC, ¶¶28-9; 63). This claim by OOCL does not rely on the filing of SEA's Complaint, but rather, accrued no later than the Demand Letter. Accordingly, OOCL's Third-Party Complaint regarding SEC/SEA's attempt to obtain OOCL services at less than the applicable charges would lie even if SEA had never filed the Complaint.

Likewise, as to SEC and SEC's first scheme – using concealment to obtain lower ocean freight rates than would otherwise be available, the crux of the deception by SEC and SEA does not turn on SEA's filing of the Complaint. Rather, OOCL's claim of concealment dates to the very signing of the applicable service contracts and continues throughout the term of the service contracts that were solicited by SEC and agreed to by OOCL. OOCL offered SEC (and SEA as its named Affiliate) rates lower than the otherwise applicable tariff rates available to the shipping public based on two main conditions – that (i) SEC guarantee a certain minimum cargo volume and (ii) SEC agree, as made crystal clear by the Service Contracts and incorporated public tariff, that SEC, not OOCL, would be legally responsible for any delay charges involving the trucker chosen and controlled by SEC/SEA.

SEC, by signing the Service Contracts under those conditions, without any objection or reservation of rights, clearly acquiesced in both the minimum volume commitment and its own liability for delays attributable to actions by SEC, SEA, or their truckers. But SEC and SEA knowingly failed to inform OOCL – then or during the term of the contracts – that they disagreed

with the assignment of liability to which they had plainly agreed. Had SEC or SEA told OOCL of this unstated reservation, OOCL would not have entered into the Service Contracts – requiring SEC to use its transportation services, if at all, only pursuant to much higher tariff rates – or would have entered the service contracts only at rates much higher than those actually granted by OOCL, to compensate for accepting the additional liability that those contracts favorably assigned to SEC/SEA. The same would have been true during the term of the service contracts; had SEC or SEA announced its position, OOCL would have taken countermeasures, including possible termination of the contracts, unless SEC agreed to higher rates, or employment of a dispute resolution mechanism.

The Commission has repeatedly found an unjust or unfair device or means where the shipper has induced a carrier to enter into a contract providing lower rates by concealing relevant facts. In *Unpaid Freight Charges*, for example, the Commission stated that it would have jurisdiction if the facts alleged “some kind of inducement or deceit” to obtain favorable treatment from a carrier. *See, e.g., Tropical Shipping & Construction Co., Ltd. v. Valley Wide Produce, Inc.*, Docket No. 93-05, 1993 WL 285897 (F.M.C.) (ALJ Default Judgment, July 20, 1993) (“Tropical claims that it was induced to provide shipment on a collect basis because Valley entered into a credit agreement The Commission has indicated that such conduct by shippers will support claims of violations of section 10(a)(1))”); *Rana v. Franklin*, Docket No. 19-03, 2020 WL 2538465 at *3 (Initial Decision, May 12, 2020) (“There is an abundance of evidence in the record that establishes fraud and deceit by the Respondent. In February 2019, the Respondent knew or reasonably suspected that her company may close soon, but failed to disclose this material information to the complainant when they entered into an agreement.”), *aff’d*, 2022 WL 1744905 (FMC May 25, 2022); *Waterman S.S. Corp v. General Foundries, Inc.*, Docket 93-15, 1994 WL

279898 at *7 (FMC 1994); *Shipco Transport, Inc. v. Saturn Air Cargo*, 27 S.R.R. 437 (respondent NVOCC induced complainant to extend it credit and release cargo). Although these cases involved inducement to release cargo or carry it without prepayment, there is no logical distinction between that situation and one where a shipper induces a carrier to enter into a service contract at rates the carrier would not have agreed to absent concealment or misrepresentation by the shipper.

Even if the Third-Party Complaint did rely on SEA's litigation as the sole basis for its allegation of an unjust or unfair device or means and detention and demurrage as the way SEC was seeking lower rates and charges, which it did not, the Third-Party Complaint would still make out a plausible claim under 46 U.S.C. 41102(a). The Commission and courts have held that an unjust or unfair device or means may be found where the shipper interposes non-meritorious arguments in litigation.

In *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979), for example, an unjust or unfair device or means was found based, in part, on the shipper's continuous assertion of invalid defenses. And in *Bank Line Limited v. Jet Set Marine, Inc.*, Docket No. 91-58, 26 S.R.R. 380 (ALJ Denial of Summary Judgment, May 8, 1992), the ALJ recognized that interposition of erroneous defenses might constitute an unfair or unjust device or means but found the evidence at the summary disposition stage insufficient to render a decision. Although these cases involved non-meritorious defenses, there can be no logical distinction between a non-meritorious defense and a non-meritorious claim of violation.

iv. SEC Obtained or Attempted to Obtain Lower Rates Than Otherwise Applicable

As explained above, one of the primary allegations of the TPC is that SEC concealed relevant facts to achieve ocean freight rates at levels that it would not have obtained from OOCL

had it been forthright and forthcoming both at the start and throughout the term of the contract. Thus, SEC both attempted to and did obtain rates below those that would have applied absent its concealment (i.e., tariff rates or higher contract rates).

As explained above, OOCL also alleges an attempt by SEC and SEA to obtain service at less than applicable charges – in particular, the detention and demurrage charges assessed by OOCL against SEC/SEA. And as demonstrated above, a demand for a refund of charges paid *is* an attempt to obtain rates lower than the otherwise applicable rate. *See Hohenberg, supra*. Unless the Commission and court were wrong in that case, *a fortiori* SEA's repeated attempts, including this litigation, to bludgeon OOCL (and other carriers) into refunding lawful charges, must equally be deemed an improper attempt to obtain charges lower than those otherwise applicable.

V. CONCLUSION

For the foregoing reasons, the Third-Party Complaint should not be dismissed for failure to state a claim for which relief may be granted.

DATED: June 26, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 26 day of June, 2025, a true and correct copy of the foregoing Respondents' Supplemental Brief was served by email on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020.

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